

EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE - 37



**INDIAN
ECONOMY - 7**

RBI intervention in the currency market has been reduced ... Hence, rupee depreciated!

A blip



Source: RBI, Bloomberg
Compiled by BS Research Bureau

Sharp fall

₹ vs \$ (in inverted scale)
(figures in brackets M-o-M chg %)



Source: Bloomberg
Compiled by BS Research Bureau

Market dashboard

Major Asian currencies against US \$

	Dec 1, '25	Chg % YTD
Indian rupee	89.6	-4.4
Vietnamese dong	26,367.0	-3.3
Indonesian rupiah	16,663.0	-3.2
Bangladeshi taka	122.1	-2.1
Filippino peso	58.5	-0.9
Hong Kong dollar	7.8	-0.3
South Korean won	1,466.0	0.9
Japanese yen	155.0	1.4
Chinese renminbi	7.1	3.2
Taiwanese dollar	31.4	4.3
Singaporean dollar	1.3	5.5
Thai baht	31.9	7.5
Malaysian ringgit	4.1	8.2

Source: Bloomberg
Compiled by BS Research Bureau

Indian Rupee is now among the most undervalued!

Indian Rupee among the most undervalued

64 currency (BIS) REER index value (as of December 1, 2025)

Russian Ruble	117.13	
Brazilian Real	109.75	
South African Rand	106.18	
Saudi Arabia Riyal	100.47	
UAE Dirham	99.45	
Indian Rupee	94.95	
Indonesian Rupiah	94.19	
South Korean Won	89.09	
Chinese Renminbi	87.94	

2025 not the worst year for rupee

USD-INR annual % change



*2025 value is YTD, as on December 2, 2025 Source: Bloomberg

REER value



REER of rupee based on 40-currency basket (Base: 2015-16=100)



- It is the standard measure used globally to gauge the value of the home currency against the weighted average value of the currencies of its trading partners divided by a price deflator.
- REER below 100 denotes that the home currency is undervalued.
- NEER is Nominal Effective Exchange Rate, which is REER not adjusted for inflation.
- The new series of REER was released in January 2021 with the base year as 2015-16. It is released for 6-currency and 40-currencies.



With the Artificial Intelligence, Nvidia's share prices skyrocketed during the past three years.

Nvidia's AI-fuelled run



World's top 5 firms by mcap

(As on Oct 29)	Mcap* (\$ trn)	1-yr chg (%)	5-yr chg (%)
Nvidia	5.12	49.3	1519.0
Apple	4.01	15.6	134.2
Microsoft	4.00	24.6	163.0
Alphabet	3.26	58.6	245.8
Amazon	2.45	20.1	42.8

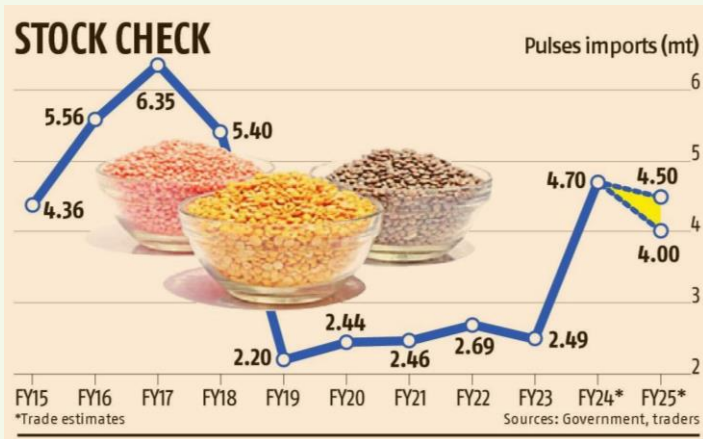
*As of 8pm IST on Oct 29

The first trillion

Company	\$1 trn valuation date	Time taken to reach \$1 trn
Apple	Aug 2, 2018	37 yrs, 7 mth, 15 days
Microsoft	Apr 25, 2019	33 yrs, 1 mth, 12 days
Nvidia	May 30, 2023	24 yrs, 4 mth, 8 days
Amazon	Sep 4, 2018	21 yrs, 3 mth, 20 days
Alphabet	Jan 16, 2020	15 yrs, 5 mth, 7 days

Sources: *Bloomberg*, reports; compiled by BS Research Bureau

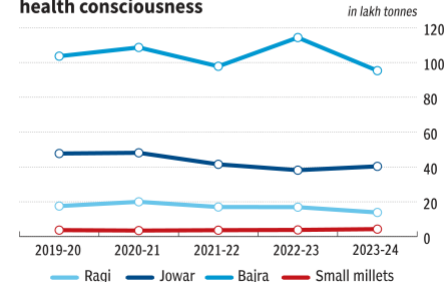
The import of pulses increased suddenly in FY24 and FY25



Valuable information about millets

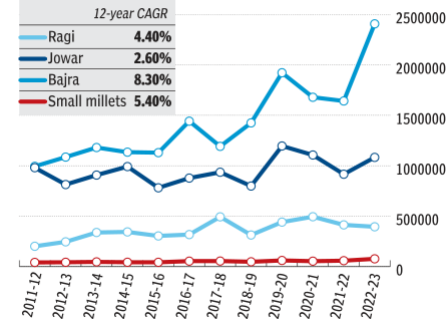
Stagnation of Shree Anna

Millet production has hit a wall despite rising health consciousness

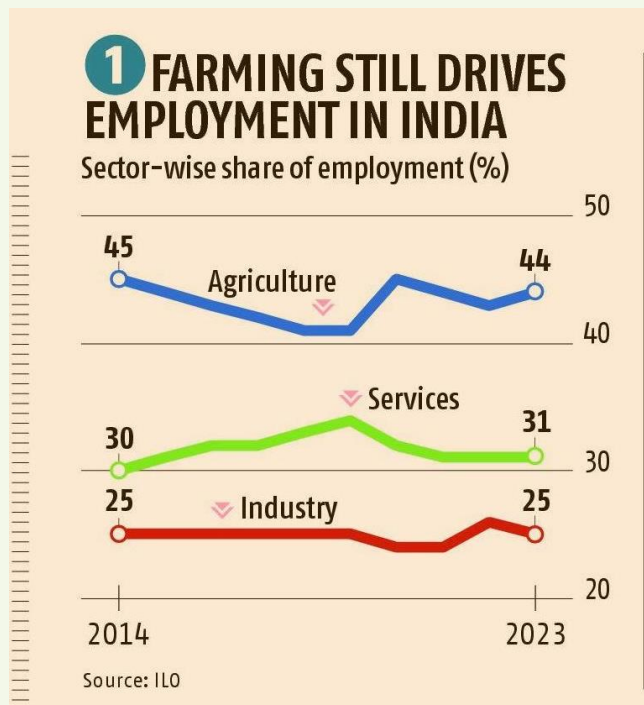


Rising prices push up output value

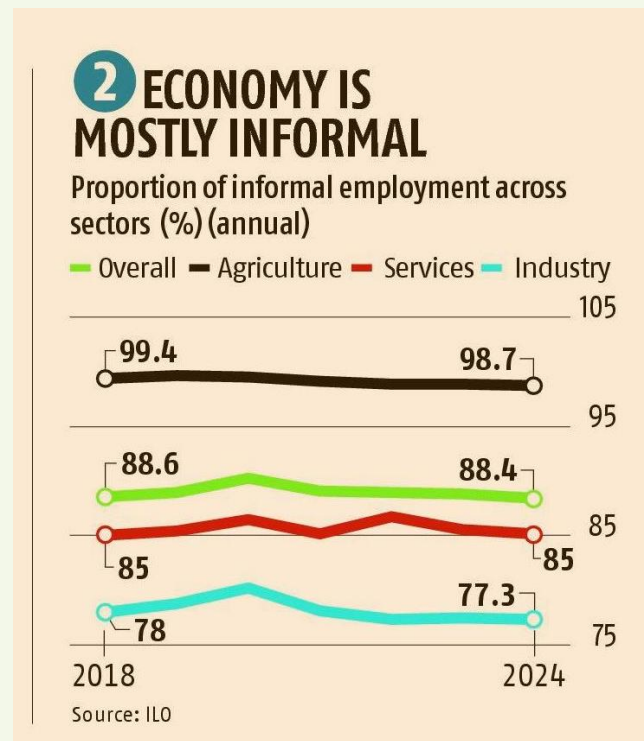
Gross value of output at current prices (in ₹ lakh)



**IN EMPLOYMENT,
AGRICULTURE SHARE IS 44%.**



**IN INDIA, INFORMAL EMPLOYMENT
SHARE IS 88.4% ... ALMOST STAGNANT**



WHAT IS FUGITIVE ECONOMIC OFFENDERS ACT?

Learning Space



NIRAV MODI

The act is to stop economic offenders, who leave the country to avoid due process.

The economic offences are those defined under

- The Indian Penal Code
- The Prevention of Corruption Act
- The SEBI Act
- The Customs Act
- The Companies Act
- Limited Liability Partnership Act and
- Insolvency and Bankruptcy Code

1 A person can be declared a fugitive offender, if a warrant has been issued against him for an offence involving Rs. 100 Cr or more, and he has left the country and refuses to return.

2 After declaring him an FEO, the court will begin the proceedings for confiscation of the properties.

3 The court will appoint an administrator to oversee the confiscated property.

4 Administrator will be responsible for disposing of the property as well and the property will be used to satisfy creditors claim.



SYSTEM OF NATIONAL ACCOUNTS

- It is to bring parity in the compilation of **economic activity** across the globe.
- This is the initiative of **United Nations**.
- We can say that it is Internationally agreed standard of recommendations.
- It acts as a guide in preparing various countries own **National Accounting Systems**.
- Hence it is basically to promote International comparability.
- It is entirely **voluntary**.
- India incorporated some of the changes proposed by **UNSNA**.



INCREMENTAL CAPITAL OUTPUT RATIO (ICOR) IN SIMPLE TERMS!

- If Rs. 3 Cr investment is required to produce Rs. 1 Cr output, ICOR is 3. Similarly, if Rs. 5 Cr investment is required to produce the same output, the ICOR is 5. Naturally 3 is better than 5. Hence, when ICOR is less, it is better for the economy.
- Unfortunately, in recent years, ICOR is on the increasing trend.

WHAT ARE THE FACTORS, WHICH REDUCE ICOR?

- High-end educational institutions.
- Well-governed industrial ecosystem.
- Robust R&D infrastructure.
- Reducing the cost of capital i.e., reducing the interest rates.
- Using cutting edge technologies.

EXTERNAL COMMERCIAL BORROWINGS (ECBs)

- The **loan** can be raised either by **public** sector entity or **private** sector entity.
- It is a **commercial loan** raised by an eligible resident entity from recognized **non-resident entities**.
- Resident firms borrow from abroad, because of interest arbitrage.



FEATURES ABOUT ECBs

- In recent years, they are on **increase**.
- It is the largest component of external debt and the second largest is **NRI deposits**.
- **Dollar** denominated **ECBs** constitute more than 50%.
- To take care of **currency depreciation** risks, **hedging** is required, which comes with **additional costs**.

TO AVOID CURRENCY RISK, GO FOR MASALA BONDS

- **Masala Bonds** are **Rupee** denominated bonds.
- They do not have currency risk for the **borrowers**.
- However, they come with higher interest rates, than **dollar denominated loans**.
- Around **30%** of ECBs are **Rupee** denominated.



- It refers to the total amount of borrowed money that is owed by entities that are not financial institutions. This is the debt incurred by:
 - ✓ Households.
 - ✓ Businesses other than those in the financial sector.
 - ✓ Government debt
- It is a significant indicator of the overall debt burden in economy.
- Common forms of household debt include mortgages, car loans, student loans and credit card debts. It is primarily driven by consumer spending and housing market dynamics.
- Non-financial corporations debt is the debt held by companies that are involved in the production of goods and services. It can be in the form of bonds, loans and other types of credit facilities.
- Government debt includes debt by local, state and national governments. It is used to fund public services and infrastructure projects, and it can be held domestically or by foreign investors.

The level of non-financial debt is a crucial indicator of the financial health and stability of an economy. High debt levels can also lead to higher interest rates and reduced spending and investment.



THE WORLD BANK



1. Removal of restrictions on buying and selling of domestic currency in both the spot and forward markets.
2. Domestic firms are able to invoice exports and imports in their own currency.
3. Foreign firms, financial institutions, government institutions and individuals are able to hold the country's currency and financial instruments.
4. Foreign firms and financial institutions, and government institutions are able to issue marketable instruments in the country's currency.
5. The country's own financial institutions and non-financial firms are able to issue foreign markets instruments denominated in their country's own currency.
6. International financial institutions, such as the World Bank and regional development banks, are able to issue debt instruments in a country's market and use its currency in their financial operations.



- Money laundering as defined under Section 3 of PMLA is an Act through which processes or activities connected to the proceeds of crime are concealed, possessed, acquired or used and projected as untainted property or claiming to be untainted property.
- In the first stage called placement, the launderer introduces money into the financial system which might be done by breaking up large amounts of cash into smaller sums (process called smurfing).
- In the second stage i.e., layering, money is shifted to other locations through investments and transactions.
- Finally in the integration stage, the laundered money is brought into the financial system through real estate business or asset formation, etc.
- As per the Supreme Court, hiding the illegal source of money affects the financial system and also the sovereignty and integrity of the nation.
- Other impacts of money laundering include expansion of money supply, which might prove detrimental to monetary stability of the country ultimately impacting inflation.

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SINCERE THANKS
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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299